Unilateral Acceptance

Accepting an offer by performing the requested act

A notice promises £50 to anyone who finds and returns a missing bag. You see the notice and return the bag as requested. You do not need to promise in advance that you will search: the offer invites an act. This is the basic pattern of a unilateral contract.

This guide explains unilateral acceptance in the law of England and Wales for university English students with no legal background. The key questions are what the offer requires, how it is accepted, and whether any separate legal requirements are satisfied.

1 Bilateral and unilateral contracts

TYPE	BASIC EXCHANGE
Bilateral contract	A promise in exchange for a promise: “I will pay £50”; “I will translate the notice.”
Unilateral contract	A promise in exchange for performance: “I will pay £50 if you return my missing bag.”

In the bilateral example, the translator undertakes a contractual obligation to translate. Under the simple reward offer, a reader does not normally undertake an obligation to search merely by seeing the notice. The reader may choose whether to perform the requested act.

“Unilateral” does not mean that only one person is involved. It describes the structure of the exchange. The requested performance normally supplies both acceptance and consideration for the offeror’s promise.

2 An offer need not be addressed to the whole world

Reward advertisements are familiar public examples, but a unilateral offer may also be addressed to a particular person or group. What matters is that the offer invites performance as the return for the promise, rather than requiring a counter-promise.

3 Read the conditions carefully

If the reward is for *returning* the bag, merely finding it is not enough. Promising to look for it is also not the requested acceptance. Identify the act, any deadline, eligibility conditions and required method of claiming the reward.

The usual starting point is that full performance is needed for entitlement to the promised reward. Starting performance raises a different question: whether the offeror can withdraw or obstruct the offer before completion. Page 3 explains this distinction.

Carlill: A Public Reward Offer

Carlill v Carbolic Smoke Ball Co [1893] 1 QB 256
Court of Appeal | Judgment delivered in 1892

4 The advertisement and the claim

The company advertised a £100 reward for a person who contracted influenza or specified illnesses after using its smoke ball three times daily for two weeks according to the directions. It stated that £1,000 had been deposited with a bank to demonstrate sincerity.

Mrs Carlill used the product as directed and nevertheless caught influenza. She claimed the reward. The smoke ball was a device marketed for inhaling a preparation; the case concerns the legal promise, not proof of its medical effectiveness.

5 Who won, and why?

Outcome: Mrs Carlill won. The company's appeal was dismissed and its liability to pay £100 remained. The advertisement was a serious offer, not merely an invitation to negotiate or empty advertising praise. The stated bank deposit supported that conclusion.

Performance of the stipulated conditions accepted the offer. The court found consideration in the requested use and the commercial benefit to the company. It did not require Mrs Carlill to notify the company beforehand that she accepted.

6 No separate advance notice was required

The offer invited acceptance through action. Its terms impliedly dispensed with a separate notification of acceptance before use. The lesson is not that every communication rule disappears: an offer may prescribe a notice, registration or claim procedure, which must be examined.

DO NOT CONFUSE	WITH
Advance notice of accepting the offer	Later evidence that the reward conditions were satisfied.
A serious reward offer	A general sales statement or invitation to negotiate.
The £100 individual reward	The £1,000 bank deposit stated in the advertisement.

7 Understanding the language

Invitation to treat: an invitation to make an offer, rather than an offer capable of immediate acceptance. **Puff:** advertising praise not reasonably understood as a legal promise. **Stipulated:** expressly specified. **Notification:** giving notice to another person.

Advertisements must be read in context. *Carlill* does not make all advertisements offers. Here, the specific reward, performance conditions and statement of sincerity gave the words a different legal character.

Daulia: Performance and Formalities

Daulia Ltd v Four Millbank Nominees Ltd [1978] Ch 231
Court of Appeal | Decided in 1977

8 What did the buyer allege?

The buyer alleged a promise to enter a property sale contract if it attended the sellers' offices before 10 a.m. with a banker's draft for the deposit and its signed part of the agreed contract ready for exchange. It alleged compliance, but the sellers refused to exchange.

The claim was struck out before trial. The court assumed the pleaded facts for this legal assessment.

9 Acceptance did not settle enforceability

Goff LJ found completed performance on those facts. However, the agreement fell within section 40 of the Law of Property Act 1925. The acts did not establish sufficient part performance to overcome the lack of required signed evidence.

Outcome: Daulia's appeal failed; the sellers succeeded. Acceptance did not remove the statutory obstacle to enforcement.

10 Starting and completing performance

Goff LJ added that an offeror must not prevent completion once performance begins and cannot then revoke. This was additional reasoning: the condition was already satisfied on the pleaded facts. Protection while performing differs from entitlement to the reward.

STAGE	QUESTION
Preparation	Has the requested performance actually begun, or is the person only getting ready?
Performance has begun	Does the offer's construction and the applicable law protect an opportunity to complete?
Performance is complete	Have the reward conditions and other legal requirements been met?

Intending to begin is not completed acceptance. Buying equipment may be preparation rather than the requested performance. Examine the act invited by the offer.

11 The historical land rule has changed

Today, section 2 of the Law of Property (Miscellaneous Provisions) Act 1989 generally requires land-sale contracts to be in signed writing incorporating all expressly agreed terms. Exceptions exist; the old part-performance route is not a general substitute.

A Practical Method

12 Four questions for a problem

First: is there a definite offer inviting performance, or only an invitation to negotiate?
Second: what exact act and conditions does the offer specify?
Third: were those conditions satisfied, and was any required notice given?
Fourth: check consideration, intention, certainty and applicable formalities. If withdrawal is disputed, identify when actual performance began.

13 Compare three situations

SITUATION	ANALYSIS
A reward for returning a bag; you merely announce that you will search.	The offer invites return, not a promise to search.
You see the reward notice and return the bag in time as requested.	The requested performance ordinarily accepts the offer; check all its terms.
A property seller orally promises a sale if you attend with documents and a deposit.	Analyse performance, then separately check land-contract formalities.

14 Essential vocabulary

Offeror / offeree: the person making / receiving the offer.
Revocation: withdrawal of an offer.
Banker’s draft: a payment instrument issued by a bank.
Exchange of contracts: the formal exchange of signed sale contracts.
Struck out: a claim removed from the proceedings without a full trial.
Formalities: legal requirements about form, such as signed writing.

15 Check your understanding

1. Must every unilateral offer be addressed to the public?
2. Did Mrs Carlill have to send advance acceptance before using the product?
3. What were the individual reward and stated bank deposit?
4. Did Daulia win because it alleged completed performance?
5. Does beginning performance automatically entitle someone to the full reward?

Answers: 1. No; a particular person or group may receive the offer. 2. No, under this advertisement. 3. £100 and £1,000 respectively. 4. No: its appeal failed because of the statutory obstacle. 5. No: protection against withdrawal or obstruction differs from satisfying all conditions for the reward.

Authorities: Carlill, judgment; Daulia, judicial text and judgment and disposition; 1989 Act, section 2.

Based on the supplied *Unilateral Acceptance - Contract Law* lesson, with corrected case details. Examples are simplified for beginners.